CRWV ▼ SHORT AI / DATA CENTERS Oct 19, 2026

CoreWeave: Debt, Rates, and the Data-Center Crossfire

CoreWeave is funding a GPU cloud with $35.6 billion of scheduled debt principal. Interest already exceeds operating income. The equity is what is left if the AI buildout slips.

EXECUTIVE SUMMARY

We are short CoreWeave. At June 30, 2026 the company reported $35,551 million of future principal payments on its debt, $31,405 million of recourse debt net of discount, and a further $3,663 million of non-recourse debt. In the same quarter it lost $49 million from operations and recorded $640 million of interest expense, net. First-half cash from operations was $3.7 billion. First-half cash debt service was about $6.2 billion. The build does not fund itself.[1]

The next two years are a refinancing calendar, not a slogan. Principal due in the rest of 2026 is $4,413 million, and 2027 is $6,184 million. Much of the stack is floating-rate debt priced over SOFR. CoreWeave's own sensitivity is about $30 million of quarterly interest expense per 100 basis points. High-coupon notes sit beside that floating paper at effective rates of 9% to 10%.[1]

The revenue that has to carry this debt is concentrated, and one of the named forward customers is deeply unprofitable. Microsoft, a profitable public company, was about 67% of 2025 revenue. Meta, also profitable, has an initial commitment CoreWeave describes as up to about $21.0 billion. OpenAI OpCo has committed up to about $6.5 billion through May 2031. Leaked 2025 accounts reviewed by the Financial Times show OpenAI revenue of $13.07 billion and an operating loss of $20.92 billion. We have not audited those

statements. We also have not watched Microsoft or Meta become unprofitable, and this note does not say that they have.[2][4]

Class A shares closed at $61.12 on October 19, 2026. June 30 book equity was $5,024 million, about $9.12 per basic share on 457 million Class A shares and 94 million Class B shares. At the Class A close, the stock was about 6.7 times that book value. We do not invent a price target. We do say the equity is a thin residual under $35.6 billion of principal and $16.3 billion of operating lease liabilities. If AI infrastructure spending breaks, or if power and zoning delays push the day the sites earn, we think the equity can be fatally hurt.[1][3]

SCHEDULED PRINCIPAL	RECOURSE DEBT, NET
$35.6bn	$31.4bn
Q2 INTEREST EXPENSE, NET	Q2 OPERATING LOSS
$640m	$49m
Q2 REVENUE	UNSATISFIED RPO
$2.58bn	$103.7bn

June 30, 2026, unless noted. Dollars in the filing are millions. RPO is contracted revenue, not cash and not capex.

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01 Crushing debt load and the refinancing calendar

CoreWeave's debt footnote is the report. At June 30, 2026, future principal payments on total debt were $4,413 million for the rest of 2026, $6,184 million in 2027, $4,416 million in 2028, $2,421 million in 2029, $3,221 million in 2030, and $14,896 million thereafter. The total is $35,551 million. That figure is the schedule of principal. It is not a facility commitment, and it is not the same as the carrying value after discounts.[1]

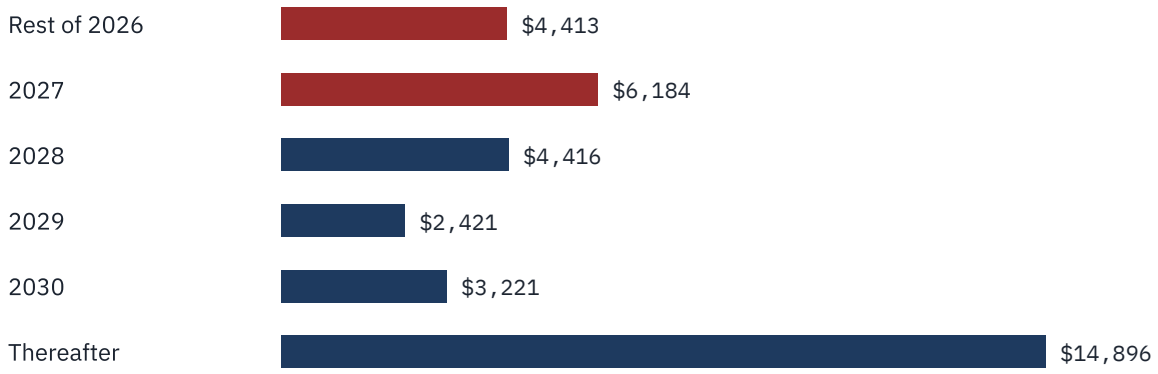


Figure 1. Scheduled principal, in millions. The near-term bars are the refinancing problem. "Thereafter" is larger, and it still has to be rolled or repaid. Source: June 30, 2026 Form 10-Q.

Carrying value is lower than that principal schedule because of unamortized discount and issuance costs. Recourse debt, net, was $31,405 million, of which $6,235 million was current. Non-recourse debt, net, was $3,663 million. Together, debt net of discount was $35,068 million. Non-recourse debt is limited to specified subsidiaries except for bad-act guarantees. It is still debt the structure has to service if those subsidiaries are to keep the assets.[1]

INSTRUMENT	MATURITY	EFFECTIVE RATE	JUNE 30, 2026	DEC 31, 2025
DDTL 1.0	Mar 2028	15%	1,300	1,553
DDTL 2.0	Aug 2030	11%	3,190	5,037
DDTL 2.1	Mar 2031	9%	3,000	2,741
DDTL 3.0	Aug 2030	9%	2,215	340
DDTL 5.0	Nov 2031	9%	1,101	—
2030 Senior Notes	Jun 2030	10%	2,000	2,000
2031 9.00% Senior Notes	Feb 2031	10%	1,750	1,750
2031 9.75% Senior Notes	Oct 2031	10%	2,750	—
2032 9.625% Senior Notes	Jul 2032	10%	1,250	—
2032 EUR Senior Notes	Jul 2032	9%	2,279	—
2031 Convertible Senior Notes	Dec 2031	2%	2,588	2,588
2032 Convertible Senior Notes	Oct 2032	2%	4,000	—
OEM and software financing	Dec 2026–Jul 2030	11%	4,220	3,518
Magnetar loan	Jan 2029	12%	189	273
Unamortized discount and issuance costs			(427)	(242)
Recourse debt, net			31,405	20,726
DDTL 4.0, non-recourse	Mar 2032	7%	2,837	—
OEM financing, non-recourse	Aug 2026–Aug 2028	9%	882	647
Non-recourse debt, net			3,663	647

Table 1. Debt carrying amounts, in millions. Effective rates are as reported. Outstanding balances are not facility sizes.

Two 2026 facilities are easy to misread. DDTL 4.0, signed in March 2026, is an $8,500 million commitment priced at SOFR plus 2.25% or Treasury plus 2.00%. DDTL 5.0, signed in May 2026, is a $3,100 million commitment at SOFR plus 4.50%. Those are sizes, not draws. At June 30, DDTL 5.0 had $1,101 million outstanding and the non-recourse DDTL 4.0 had $2,837 million outstanding. Management reported $13.6 billion outstanding under delayed-draw term loans and $16.6 billion of aggregate note principal.[1]

The other obligations sit outside that principal table. Operating lease liabilities were $16.3 billion. Stockholders' equity was $5,024 million. The accumulated deficit was $4,009 million. Property and equipment, net, was $46,736 million, which is what the debt and the leases have been used to assemble. Purchases of property and equipment in the first half of 2026 were $14,117 million, against $3,860 million in the 2025 half. Net cash used in investing was $14,874 million.[1]

Remaining performance obligations were $103.7 billion. CoreWeave expected to recognize 41% by June 30, 2028, 39% over the following two years, and the rest in months 49 through 78. RPO is the transaction price allocated to work not yet delivered, net of estimated credits, delays, and capacity the company may resell. It is not cash. It is not the capex required to deliver the capacity. A reader who treats $103.7 billion of RPO as if it repaid $35.6 billion of principal has skipped the part where the buildings and the power have to show up first.[1]

02 Interest-rate headwinds

Interest expense, net was $640 million in the June quarter, up from $267 million a year earlier. The increase was $373 million, or 140%, and management attributed it primarily to more borrowing and a larger debt balance. For the six months, interest expense, net was $1,176 million against $531 million. Operating income in the quarter was a loss of $49 million. Interest was not a footnote under a profitable operating line. It was the line.[1]



Figure 2. June quarter, in millions. Interest expense, net was 24.9% of the quarter's $2,575 million of revenue. Source: Form 10-Q.

	Q2 2026	Q2 2025	H1 2026	H1 2025
Revenue	2,575	1,212	4,653	2,194
Operating income (loss)	(49)	19	(193)	(8)
Interest expense, net	(640)	(267)	(1,176)	(531)
Net loss	(626)	(290)	(1,366)	(605)

Table 2. Selected results, in millions.

Contractual interest, before amortization of discounts and before capitalization, was $592 million in the quarter and $1,075 million in the half. Capitalized interest was $176 million in the half. The income-statement “interest expense, net” and the contractual-interest line are different numbers. Both say the same thing about the direction. [1]

The rate exposure is not theoretical. CoreWeave disclosed that a 100 basis point move in rates would change interest expense by about $30 million in a quarter and $61 million over six months, based on the floating-rate balance at June 30, 2026. The delayed-draw loans are priced at spreads over SOFR, and in one case over Treasury. The senior notes are the fixed, expensive slice: coupons from 9.00% to 9.75%, effective rates around 9% to 10%. The convertibles, at a 2% effective rate, are the cheap slice. They are $6,588 million of the recourse lines in the table above, not the majority of a $31.4 billion recourse book. [1]

Equity raises have extended the runway. They have not retired the calendar. The March 2025 IPO of 37 million Class A shares at $40 produced $1.4 billion of net proceeds before $31 million of offering costs, and the underwriters later bought about 2 million more shares for $68 million net. In January 2026 NVIDIA bought about 23 million shares at $87.20, for $2.0 billion gross. In April 2026 the company sold about 9 million shares at $109, for $1.0 billion gross. Those proceeds are real. Set next to $4.4 billion of principal due before year-end 2026 and $6.2 billion due in 2027, they are a supplement. [1]

Cash makes the same point. Unrestricted cash was $5,524 million. First-half contractual interest was $1,075 million, so the cash balance was 5.1 times that half’s contractual interest. First-half debt service was still about $6.2 billion, because principal was $5.2 billion and interest payments were $982 million, including $176 million capitalized. Operating cash flow of $3.7 billion, which is already after $806 million of interest paid net of capitalized amounts, did not cover debt service. Capex was several times larger than both. [1]

03 Local political and community opposition

The capacity behind the debt and the backlog has to be energized in specific towns. None of the project facts in this section come from the 10-Q. They come from local reporting. We are not saying any of these projects has been cancelled. A delay is enough. Interest does not wait for a substation.

In Kenilworth, New Jersey, NJ.com reported an approximately $1.8 billion, nearly 400,000-square-foot AI data center on a former pharmaceutical headquarters. Construction had begun in September, with operations expected in early 2027. A petition had more than 4,000 signatures when that story ran. Union News Daily reported protests before a May 19, 2026 planning-board meeting. Cranford, next door, has moved to take data centers out of the uses allowed in its commercial zones. The mayor said the township had no advance notice of the Kenilworth project. We are not using petition claims about megawatts or tax credits. [5]

In Lancaster, Pennsylvania, LancasterOnline has reported CoreWeave data centers at 216 Greenfield Road and 1375 Harrisburg Pike. The zoning officer treated them as “wholesale trade and storage.” A resident appealed. The developers went to court and blocked the hearing. Work on the first Greenfield Road building was underway, with an opening expected in summer 2027, and the developers told the court they had already spent $1.3 billion on it. A later city ordinance on data centers was written so that complete applications already on file would keep the old rules. Opposition changed the politics. It did not, on the facts we have, stop the pour. [6]

That is the crossfire. Power, water, noise, and zoning fights are now a normal constraint on this industry. For a company whose first-half capex was $14.1 billion and whose lenders are being paid from a schedule, a slipped energization date is a credit event in slow motion even when the bulldozers are still on site.

04 Concentration, and a deeply unprofitable buyer

The customer base is not “unprofitable companies, full stop.” Microsoft and Meta are profitable public companies. Saying otherwise would be false, and it is not the short. The short is that revenue is extremely concentrated in AI infrastructure demand, and that one of the large named commitments is to a private company whose leaked 2025 accounts show an operating loss larger than its revenue.

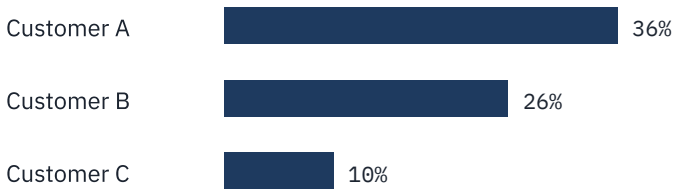


Figure 3. Customers at or above 10% of revenue, quarter ended June 30, 2026. The filing says the letters are not necessarily the same parties as in prior periods. Source: Form 10-Q.

In the June 2026 quarter, three customers were 36%, 26%, and 10% of revenue. For the six months the top two were 40% and 23%. Customers A and B were each 32% of accounts receivable at June 30. A year earlier, one customer was 71% of the quarter. The 2025 Form 10-K names the dominant customer for that year: approximately 67% of revenue came from Microsoft, and no other customer was 10% or more. The June 2026 letters are not a second source for that Microsoft figure. The filing warns that the letters can change identity between periods. [1] [2]

The forward commitments the company does name are large. OpenAI OpCo, under a May 2025 master agreement and a September 2025 order form, committed to pay up to about $6.5 billion through May 31, 2031. In March 2026 Meta signed an order form CoreWeave describes as an initial commitment of up to about $21.0 billion, covering new capacity through December 20, 2032 and the exercise of an existing option through April 10, 2032. In April 2026 Jane Street, identified in the filing as a private company, committed about $6.0 billion. The same risk factor lists Microsoft and OpenAI as other significant customers, and it says early-stage and private customers can carry a higher risk of non-payment. Jane Street is in that paragraph as a private company. We do not describe Jane Street, Microsoft, or Meta as loss-making. [1]

OpenAI is the name that fits. It does not file these figures with the SEC. Audited statements obtained by Ed Zitron and reviewed by the Financial Times, as reported by Quartz and Ars Technica in June 2026, show 2025 revenue of $13.07 billion and an operating loss of $20.92 billion. The headline net loss was about $38.5 billion and included a large charge from the conversion out of a nonprofit structure. Quartz and Zitron describe a $41.55 billion fair-value charge inside that net loss. Ars, citing the Financial Times and a person familiar with the matter, describes a non-recurring charge of about $30 billion and a roughly $8 billion net loss without it. We use the operating loss, which the accounts agree on, and we treat it as leaked reporting. We have not inspected the statements. [4]

A $6.5 billion OpenAI commitment is not most of CoreWeave’s revenue today. It matters because the short is about what has to keep being true. The 2025 book was dominated by one hyperscaler’s AI budget. The forward book adds another hyperscaler and a private lab that, on these leaked numbers, lost $20.92 billion from operations in a year when it made $13.07 billion. Those buyers can cut, delay, or renegotiate. CoreWeave’s coupons cannot.

05 Why an AI-spend unwind could be fatal

This section is opinion. It is the reason for the short, not a fact the 10-Q asserts.

CoreWeave’s obligations are rigid and its demand is a capital-spending cycle. Principal of $4.4 billion is due before the end of 2026 and $6.2 billion in 2027, whatever happens to GPU rental prices. Interest of $640 million in a single quarter already swamps a $49 million operating loss. Lease liabilities of $16.3 billion are a second fixed claim. The asset that supports all of it, $46.7

billion of net property and equipment, is specialized. It is worth what the next buyer of GPU hours will pay, in towns that will supply the power.

The backlog is the bull case, and it is a real number: $103.7 billion of unsatisfied RPO. An unwind does not have to erase that number overnight to hurt the equity. It has to make some of it late, smaller, or more expensive to deliver. The 10-Q already defines RPO net of estimated credits, delivery delays, and capacity the company has the right to resell. If those estimates get worse, recognized revenue slips while contractual interest does not. First-half numbers are the template. Operations produced $3.7 billion of cash. Debt service took about $6.2 billion. Investing took $14.9 billion. The gap was filled by more debt and more stock. That is a model that works while credit markets and equity markets will fund AI infrastructure. It is not a model with a thick equity cushion if they stop.

Book equity is $5.0 billion. The accumulated deficit is $4.0 billion. Illustrative equity value, using the June 30 basic share count marked at the October 19 Class A price, is about $33.7 billion, and that figure has the caveats in the next section. Either way, the equity is the residual under $35.6 billion of scheduled principal. A residual can go to zero without the debt going to zero. That is what we mean by fatal. We are not predicting a filing date. We are saying the capitalization does not have a second act if the AI capex cycle turns while this maturity wall is still in front of the company.

06 Valuation and downside

We do not publish a price target. A target would require a multiple we would be choosing, or a share count we do not have for October. What follows is arithmetic on figures we can cite. It is not a forecast.

ITEM	FIGURE	HOW IT IS DERIVED
Class A close, Oct 19, 2026	$61.12	StockAnalysis historical prices [3]
Class A shares outstanding	457 million	June 30, 2026 balance sheet [1]
Class B shares outstanding	94 million	June 30, 2026 balance sheet [1]
Basic shares	551 million	457 + 94. Matches Q2 basic weighted-average shares [1]
Stockholders' equity	$5,024 million	June 30, 2026 [1]
Book value per basic share	$9.12	5,024 ÷ 551, rounded
Class A close ÷ book value	6.7×	61.12 ÷ 9.12
Class A stake at the close	$27,932 million	457 × 61.12. Ignores Class B
Illustrative equity, all basic shares	$33,677 million	551 × 61.12. Assumes Class B is worth the Class A price
Debt, net of discount	$35,068 million	31,405 recourse + 3,663 non-recourse
Unrestricted cash	$5,524 million	Cash and cash equivalents [1]
Illustrative enterprise value	$63,221 million	33,677 + 35,068 – 5,524

Table 3. Valuation arithmetic. Share counts and book equity are June 30, 2026. The share price is the October 19, 2026 Class A close.

The $33.7 billion equity figure is not a market-cap print. The share count is seven weeks stale relative to a June 30 balance sheet and an October 19 price, issuance after June 30 is not in it, and Class B may not trade at the Class A price. Restricted cash, $873 million current and $507 million non-current, is excluded from the cash deduction because it is not free cash. Convertible notes of $2,588 million and $4,000 million can add shares if they are in the money. We do not have a conversion price in the figures we are willing to use here, so we do not guess a diluted count.

Read the table from the bottom up. An illustrative enterprise value around $63 billion sits on first-half revenue of $4,653 million and a quarter in which the company did not cover its interest from operations. Book equity of $5.0 billion is the

accounting residual. At $61.12, Class A traded at about 6.7 times June 30 book value per basic share. The distance between $61.12 and $9.12 is the distance between the price and the accounting residual. We are not saying the stock “should” trade at book. We are saying book is thin relative to $35.6 billion of scheduled principal and $16.3 billion of lease liabilities, and a re-rating toward that residual would be a large loss for the equity. If the assets are impaired, book itself can fall. The accumulated deficit says the accounting residual has already been consumed once, and then refilled by new capital.

Downside, stated without a target: the equity is a claim on whatever remains after the principal schedule, the leases, and the cost of finishing sites that towns are contesting. The bull case is that $103.7 billion of RPO turns into cash on time and the debt amortizes. The short is that this price still capitalizes that outcome.

07 Risks to the short

The backlog can pay for a great deal of debt if the sites are delivered. RPO of $103.7 billion is not a rumor. Management also says the delayed-draw loans are collateralized by contributed contracts and pledged cash flows, generally from investment-grade counterparties, and that they amortize as those cash flows arrive.[1]

Microsoft and Meta can pay. A thesis that needs them to default is a different, weaker thesis, and it is not this one. Their commitments can fund a large share of the build if they take the capacity. Jane Street’s $6 billion commitment is a third contracted buyer we are not calling distressed.

The company has sold stock at $40, at $87.20, and at $109. It can try again. A lower stock price makes that dilution more painful for existing holders, which is part of the short, but it does not make a raise impossible. Rates can fall. The disclosed sensitivity cuts both ways: 100 basis points lower is about $30 million less interest expense per quarter. Kenilworth and Lancaster have drawn protests and, in Lancaster, a lawsuit, and construction has continued. We may be early, or wrong, about an unwind in AI spending. The OpenAI loss figures are leaked. If the audited statements differ, the customer section has to be reread. The June-quarter customer letters are not a named list, so a reader should not treat Customer A as Microsoft just because Microsoft was 67% of 2025.

The short is wrong if CoreWeave delivers the capacity, collects the contracted cash, and refinances the 2026 and 2027 principal without a break in the price of GPU hours or in the willingness of credit markets to extend. That is a possible outcome. It is not the one the capitalization is built to survive comfortably.

08 Notes

1. CoreWeave, Inc., Form 10-Q for the quarter ended June 30, 2026, filed with the SEC. Unless a sentence is footnoted elsewhere, the financial figures in this note are from that filing, in millions as reported. sec.gov.
2. CoreWeave, Inc., Form 10-K for the year ended December 31, 2025. “We recognized an aggregate of approximately 67% of our revenue from our top customer, Microsoft.” sec.gov.
3. Class A closing price of $61.12 on October 19, 2026, as reported in the historical price table at stockanalysis.com. The prior session in that table, October 16, 2026, closed at $61.39.
4. OpenAI figures are not from a CoreWeave filing and not from an OpenAI SEC report we inspected. Quartz, June 16, 2026, and Ars Technica, on statements obtained by Ed Zitron and reviewed by the Financial Times: 2025 revenue $13.07 billion, operating loss $20.92 billion, headline net loss about $38.5 billion.
5. Kenilworth: NJ.com on cost, size, schedule, and the petition; Union News Daily on protests; Cranford Patch on the neighboring zoning change.
6. Lancaster: LancasterOnline on the zoning classification, the blocked appeal, and the developers’ reported spend; companion article on the later ordinance.

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